

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Mortgage rates rose** above 7% for the first time since mid-2024, an early setback for a housing market that is coming off two consecutive years of poor sales. **A1**
- ◆ **China said** its economy expanded by 5% last year, hitting its official growth target, but a variety of weak signals raised skepticism among some outside economists. **A7**
- ◆ **A rule change** last year by California's insurance regulator will likely shift a large portion of the cost of the Los Angeles wildfires to homeowners in the state. **A1**
- ◆ **Declines in tech stocks** depressed U.S. indexes and Treasury yields fell for a third straight session. The S&P 500 and Dow both declined 0.2% and the Nasdaq shed 0.9%. The 10-year Treasury note settled at 4.606%. **B11**
- ◆ **Retail sales in November** and December, excluding cars, gasoline and restaurants, rose 4% from 2023 to \$994.1 billion, Commerce Department data showed. **B1**
- ◆ **Cartier owner Richemont** reported better-than-expected quarterly sales, triggering a rally in luxury stocks, after its jewelry division bucked a downturn in demand for high-end goods. **B2**
- ◆ **TSMC reported** another record quarter on AI-driven demand for chips and said it expects continued growth even as it navigates the U.S.-China technology rivalry. **B4**
- ◆ **American Express** agreed to pay about \$230 million in penalties over deceptive practices tied to how it sold credit cards and wire services to small-business customers. **B1**

World-Wide

- ◆ **Israel's Netanyahu** said negotiators reached agreement on a Gaza cease-fire deal that would free Israeli hostages, ending two days of debate that had underscored the pact's fragility. **A1, A6**
- ◆ **Florida Gov. Ron DeSantis** named the state's attorney general, Ashley Moody, to fill the Senate seat being vacated by Marco Rubio, who is seeking confirmation as U.S. secretary of state. **A4**
- ◆ **Births in China** edged up in 2024 for the first time in eight years, while deaths dropped slightly, but the country's population still fell as deaths outpaced births. **A7**
- ◆ **TikTok gained new hope** for survival in America, with its CEO slated to attend Trump's inauguration and the president-elect's advisers working on options to delay a ban of the popular app. **A4**
- ◆ **Biden issued** an executive order on cybersecurity, covering topics from securing government communications against foreign hackers to threats posed by AI and quantum computing. **A3**
- ◆ **An uncrewed spacecraft** operated by Musk's SpaceX exploded during a test flight, temporarily disrupting air travel as pieces of it streaked across the sky. **A3**
- ◆ **The U.S. imposed** sanctions on Sudan's de facto president, Lt. Gen. Abdel Fattah al-Burhan, as punishment for the brutal campaign he has led in the African country's civil war. **A8**
- ◆ **Died: David Lynch, 78**, filmmaker. **A3** ... **Bob Uecker, 90**, "Mr. Baseball." **A2**

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Treasury Pick Bessent Pressed on Tariffs, Taxes



KEVIN LAMARQUE/REUTERS

MONEY MAN: Scott Bessent, the choice of President-elect Donald Trump to be Treasury secretary, testified to the Senate Finance Committee on Thursday, speaking favorably of higher tariffs and tax cuts. Behind him was his son, Cole. **A4**

Mortgage Rates Surpass 7% In New Blow to Home Market

Latest uptick poses a danger to the spring selling season, a very active time for sales

By GINA HEEB AND NICOLE FRIEDMAN

Mortgage rates rose above 7% for the first time since mid-2024, an early setback for a housing market that is coming off two consecutive years of poor sales. The average rate on the standard 30-year fixed mortgage rose to 7.04% this week, according to a survey of lenders

by mortgage-finance giant Freddie Mac. That marked the first time since May that it rose above 7%, an important psychological threshold for buyers and sellers. "Unfortunately, we're at that point again," said Calvin Lawhorn, president of Lawhorn & Associates Mortgage, where purchase and refinancing volumes were down 20% from a year earlier in 2024. The housing market has slumped in recent years as high mortgage rates and expensive home prices made home buying unaffordable for many people in the U.S. It hasn't helped that other costs

of homeownership, such as insurance and taxes, have also surged. Sales of previously owned homes in 2024 likely fell to the lowest level since 1995, for the second year in a row. An uptick in rates to start the year could put a damper on the spring selling season—usually the most active time for sales—and undermine hopes that the market can break out of its sales slump. The Federal Reserve last month again lowered its benchmark interest rate for the third time in a year, which brought it down a full percentage point since September. But the central bank signaled

doubt over its future path. Mortgage rates aren't directly tied to those moves and instead tend to move with government-bond yields. The 10-year Treasury yield retreated Wednesday and Thursday but has been on the rise in recent weeks, a reflection of uncertainty over inflation, the federal budget deficit and other factors. The "upward drift in mortgage rates—the result of ongoing financial market volatility and inflationary pressures—is

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◆ **Heard on the Street: Homes** could be overvalued..... **B12**

Israel Says Deal On Gaza Truce Reached

Netanyahu puts situation on track as security cabinet prepares to vote

Israeli Prime Minister Benjamin Netanyahu said negotiators have reached agreement on a cease-fire deal in the Gaza Strip that would free Israeli hostages, ending two days of debate that had underscored the pact's fragility.

By Summer Said, Jared Malsin and Anat Peled

The prime minister, who had accused Hamas of reneging on parts of an agreement originally announced Wednesday, said the country's security cabinet would meet to approve the deal Friday and that his full cabinet would be convened later to sign off. The deal is likely to go into effect on Monday, a person familiar with the matter said. President Biden and the prime minister of Qatar announced Wednesday Israel and Hamas accepted the truce, the result of a year of painstaking diplomacy that reached a conclusion in the days before Donald Trump's inauguration as president. Palestinian militant group Hamas said it reached a deal with Israel, while President Isaac Herzog of Israel welcomed the agreement and urged the Israeli government to accept it. But as celebrations erupted across the Gaza Strip and leaders exchanged congratulations, Netanyahu raised uncertainty by accusing Hamas on Thursday

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◆ **Two presidents dispute** credit for peace deal..... **A6**

Owners Across California Liable for Fires' Cost

By JEAN EAGLESHAM AND SARA RANDAZZO

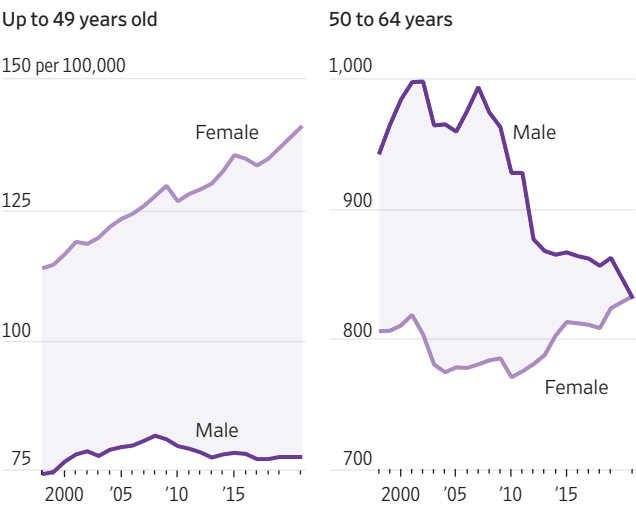
ALTADENA, Calif.—A little-noticed rule change last year by California's insurance regulator will likely shift a large chunk of the cost of the Los Angeles wildfires to homeowners across the state. Pushed by insurers, the change puts California homeowners on the hook to pay directly toward the cost of rebuilding from very large disasters through even fatter insurance bills—whether they were exposed to the L.A. fire or not. "That would be a huge wake-up call for Californians because they have no idea that the rules have changed," said Dave Jones, a former California insurance commissioner. The new policy affects the backstop for California's Fair Plan, the state's insurer of last resort, which sells fire-damage policies to homeowners who can't get coverage elsewhere. The worry is that the Fair Plan lacks the resources to pay for the quickly escalating cost of the fires, which have destroyed tens of thousands of structures. The rules change means insurance companies can bill their customers if they are forced to bail out the plan, which has an estimated \$200 million in cash and \$2.5 billion in reinsurance, according to data it reported last year. That is likely not enough to cover the Fair Plan's share of

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Cancer Rate Rises for Women

Cancer rates for women in the U.S. climbed in the past half-century, particularly among women under 65 diagnosed with breast cancer, while men have seen a decline in cancer rates. **A3**

Cancer incidence, by age and gender



Note: 2020 data not shown
Source: American Cancer Society

Travelers Discover Vacationing In a Ghost Town Can Be Grim

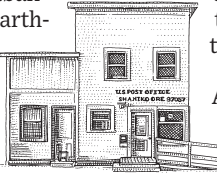
Abandoned locales pitch longer stays, but visitors say that's too spooky

By KAILLYN RHONE

For a vacation to Italy, Ramy Awad wanted an adventure. So he picked Fossa, a town deep in the middle of the country that was abandoned after a 2009 earthquake. But things quickly went sideways for the 35-year-old and two friends he brought with him. It took the group almost three days to find the town, with GPS leading them in circles. When they finally arrived late at night and got ready to settle

in, they heard strange voices. They didn't know if they were real or imagined, but nobody wanted to leave the tent to investigate. In the morning, they woke up to the sound of a drone that followed them for the next three days. At some point, Awad wondered if he should have settled for the Leaning Tower of Pisa. "My least favorite part was getting chased by drones," said Awad, a content creator based in New York City. "That's some-

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A very quiet escape

China's Growth Hits Target for 2024

By JASON DOUGLAS

SINGAPORE—China said its economy expanded by 5% last year, formally hitting its official growth target in a difficult year that saw officials respond to a sharp summertime deterioration in key indicators with its most aggressive stimulus in years. The country's National Bureau of Statistics said gross domestic product was buoyed by solid growth in investment and exports, which offset weaker consumption, highlighting the unevenness of Chinese growth. Still, some outside economists say the robust headline numbers contrast with a variety of other data points that

paint a weaker picture of economic health, including anemic consumer inflation, tax revenue and online spending. The economy remains mired in a real-estate slump and has been struggling with deflation. Beijing faces a further risk this year with U.S. President-elect Donald Trump's pledge to impose stiffer tariffs on Chinese imports, which would pummel China's booming exports and throttle growth overall. Trump on the campaign trail said he would raise tariffs on all Chinese imports as high as 60%, a key plank of a trade

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◆ **China population declines** despite uptick in births... **A7**

Trump Lays Plans To Make Over D.C.

Vows to change capital city in ways large and small, but it won't be easy

By ALEX LEARY AND NATALIE ANDREWS

WASHINGTON—Something was nagging at Donald Trump when he sat down late last month with Mayor Muriel Bowser to discuss the city that he would soon call home. Graffiti. The incoming president was preoccupied with spray-painted walls he saw in a tunnel his motorcade sped through in the summer of 2023 on the way to the federal courthouse in Washington, where he pleaded not guilty to

charges of conspiring to overturn the election results. Trump saw graffiti as symbolic of a city in decline, and he told Bowser he intended to take action, according to people briefed on their meeting at Mar-a-Lago. As Trump prepares to move back into the White House for his second term, he and his senior advisers have vowed to transform the nation's capital in ways both small and large.

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◆ **Trump allies eye reprieve** for TikTok..... **A4**